EQUITY RESEARCH · INDIAN IT SERVICES

Infosys: BUY

12-month target ₹1,400, 18% above ₹1,185

NSE: INFY Prices as of 31 Oct 2026 Learning exercise, not investment advice

The price assumes Infosys stops growing

WHAT ₹1,185 IMPLIES

3.6%

a year rupee revenue growth for ten years, roughly flat in constant currency

OUR BASE CASE

7.3%

a year: 4–5% constant currency from FY28 plus ~3% rupee depreciation

Or, holding our forecasts, the market is using a 12.5% discount rate: the most conservative way to price India risk.

Source: own reverse DCF at ₹1,185 (31 Oct 2026), WACC 10.7%

Three signs growth is bottoming

DEALS

$5.2 bn

of Q2 large-deal wins, 62% net new, including a 7-year $2 bn+ deal worth over a point of FY28 growth

AI

10.5%

of revenue from AI in Q2, up from 8.2% a quarter earlier, growing 29% quarter on quarter

CASH

7.4%

free-cash-flow yield; over $4 bn returned to shareholders in FY26

Sources: Infosys Q2 FY27 results (23 Oct 2026); FY26 cash flow via stockanalysis.com

₹1,400: the midpoint of two DCF views

DCF version	WACC	Value	Upside
Raw 10-year G-Sec yield (7.40%)	12.5%	₹1,270	+7%
G-Sec less India default spread	10.7%	₹1,524	+29%
Target (midpoint)		₹1,400	+18%

Cross-check: 16.5x FY28E EPS of ₹85, close to peer-median values of ₹1,345–₹1,443.

Infosys trades at 15.6x earnings vs TCS 17.5x and HCLTech 22.2x.

Source: own DCF model (github.com/monisha-jasrai/Infosys-DCF-Model); peer multiples Tapetide, 31 Oct 2026

Where we differ from the Street

THE STREET: MEDIAN TARGET ₹1,108

- Q2 margin missed; wage hikes land in H2
- FY27 guidance cut twice, now 1–2%
- US retail and hi-tech still shrinking
- Lagging TCS and HCLTech

OUR VIEW: ₹1,400

- The next two quarters are already in the price
- FY28 gets the mega-deal ramp
- AI revenue compounding at ~29% a quarter
- The discount to peers is the opportunity

Source: broker targets after Q2 FY27, Business Today, 26 Oct 2026 (10 of 25 brokers)

What would prove us right, or wrong

Catalysts

When	Event
Mid-Jan 2027	Q3 results: guidance held
1 Apr 2027	New CEO Ashiss Kumar Dash
Apr 2027	FY28 guidance of 3%+
FY28	$2 bn+ deal ramps up

Risks (bear case ₹1,021, –14%)

Risk	We'd change our view if...
AI price deflation	FY28 guidance below 2%
Margin pressure	Margin under 20% twice
CEO transition	Deal wins stall
Stronger rupee	Below ~90 per dollar

Bear case from own DCF scenario analysis

BUY Infosys, target ₹1,400

The market prices zero growth. Deals, AI and cash returns say otherwise, and the stock is the cheapest of India’s big three IT firms.

The test: FY28 guidance in April 2027.